Crossing the $1t Chasm

By Tomasz Tunguz · @ttunguz · October 30, 2026

Mr. Pickles Lanman's TLDR:

Mixed

- The author argues that the first $10t company will be whichever one builds a $1t-a-year AI compute business before AI eats the old profit engine that pays for it.
- Jassy and Musk have both named $1t revenue targets, and cloud growth sped up at Google, Microsoft and Amazon in Q3 2026.
- A simple projection has Google Cloud and SpaceX reaching a $1t annual run rate around 2030, with AWS following in 2032.
- The author blames slower Google Search and Amazon Ads growth on AI changing how people search and shop, and says that worry, plus heavy spending, explains the earnings sell-offs.
- Microsoft is presented as the one big player whose legacy business is gaining from AI.

TRUTH CHECK The CEO quotes and the cloud revenue and growth figures check out against the transcripts and filings. The share-price chart is wrong about Amazon: it shows a 12% drop, but the stock closed down about 1.4%. The piece also trims or skips management's own explanations, so the Search and Ads slowdowns look more AI-driven than the companies said they were.

Serif text is the author's, unchanged. Underlines and numbers point to Pickles' margin notes.

Who will be the first $10t company? The one that first crosses the trillion dollar chasm : building a $1t AI compute engine before AI erodes the legacy cash cow paying for the GPUs.

In the last few weeks, two CEOs have put a $1t revenue target on their businesses : Andy Jassy & Elon Musk. We are tracking each company's cloud & AI compute engine toward $1t in annualized segment revenue.

Andy Jassy, President & CEO of Amazon:

> *"We believe that AWS can grow north of 40% in each of 2027 & in 2028, & be a trillion-dollar revenue business in the next 5 to 10 years*[1]*."*

1 · TRUTH CHECK: CONFIRMED

Jassy quote is accurate

The call transcript matches. The press release says the same thing in writing: AWS revenue growth "over 40% both in 2027 and in 2028." On the same call, Jassy said Amazon's stores business could also reach $1t. The piece leaves that out.

Amazon Q3 2026 call transcript

Elon Musk, on SpaceX's Q3 call:

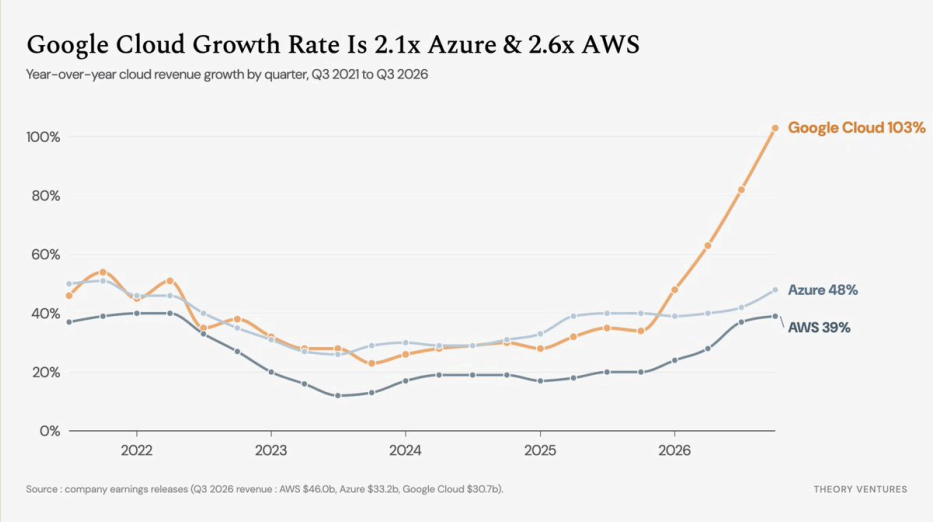
> *"SpaceX could reach a $500b to $1t annual recurring revenue run rate by 2027.[2]"*

2 · TRUTH CHECK: CONFIRMED

Real claim, but paraphrased

The substance is right, but these are not Musk's exact words. He said ARR "by the end of '27 is somewhere between $500 billion and $1 trillion." That was his own projection, not company guidance. The CFO's formal guidance is $33b to $37b of revenue for Q1 2027. Q3 2026 revenue was $14.6b.

SpaceX Q3 2026 call transcript



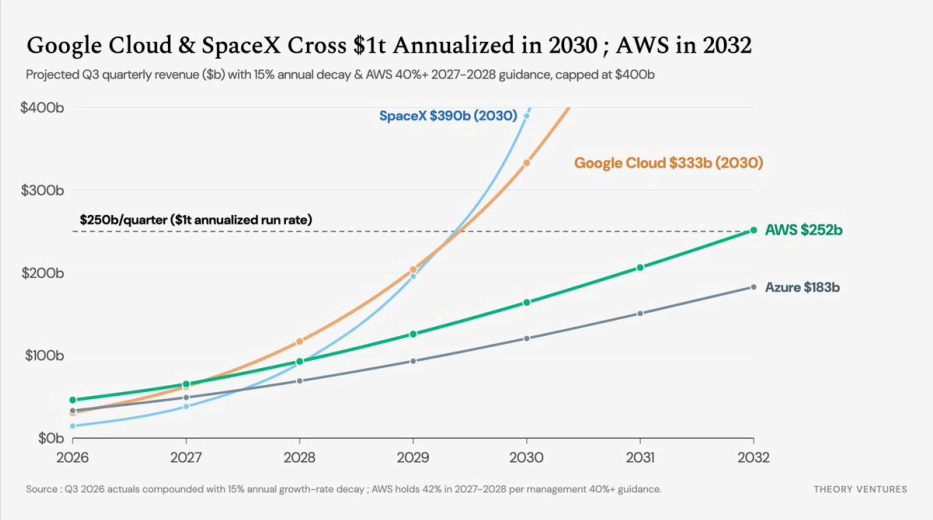
Meanwhile, growth rates are accelerating at every hyperscaler[3] on businesses generating $30b to $50b per quarter.

3 · TRUTH CHECK: CONFIRMED

Acceleration is real

Google Cloud grew 63%, then 82%, then 103% across 2026's first three quarters. Azure went from 42% to 48%. AWS grew 39%, its sixth straight quarter of faster growth. The first chart's dollar figures ($46.0b, $33.2b, $30.7b) match the reports.

Alphabet Q3 2026 call · CNBC on Microsoft

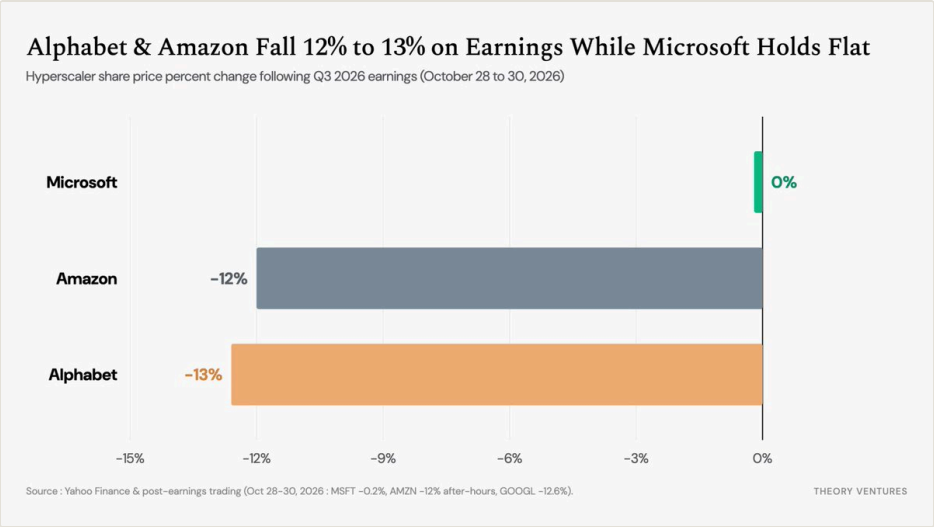


Assume current growth rates with a 15% annual decay & Andy Jassy's guided 40%+ growth in 2027 & 2028. Google Cloud overtakes Azure in mid-2027 & passes AWS by the end of 2027[4] to become the largest of the three cloud businesses.

4 · PICKLES' TAKE
The 103% has a one-off boost
Google Cloud's 103% includes TPU chip-system sales, which Alphabet only started counting in Q2 2026. That new revenue line inflates growth until it laps itself in 2027. Carrying roughly 100% growth forward is generous. Google Cloud also includes products Azure and AWS don't, so this is not quite like-for-like.
Alphabet Q3 2026 call · Yahoo on Alphabet Q3

On that trajectory, Google Cloud & SpaceX both cross $250b in quarterly revenue[5] ($1t annualized run rate) in 2030 & AWS follows in 2032 : provided power, silicon & balance sheets hold.

5 · PICKLES' TAKE
The model quietly discounts Musk
Musk said $1t by the end of 2027. The author's own model gets SpaceX there in 2030, about three years later. That is a sensible haircut, but the piece doesn't say so. SpaceX also barely fits the thesis. Most of its revenue is now AI, and it has no shrinking legacy business paying for it.
SpaceX Q3 2026 call transcript



Why did the market sell off two of the three hyperscalers on earnings day?[6] Investors are worried that the legacy businesses will not be able to sustain[7] the positive cash flows to continue the capex spend in sufficient time to realize the ROI.

6 · TRUTH CHECK: WRONG
Amazon didn't fall 12%
Alphabet did fall 12.6%, its worst day ever. Amazon did not. Its stock fell nearly 7% before the market opened, then closed down 1.41%. The chart's "-12%" for Amazon has no support in the coverage I read. Microsoft was roughly flat on October 29, so its bar is fine.
Motley Fool, Oct 30 · CNBC on Amazon · CNBC on Alphabet

7 · PICKLES' TAKE
Cash-flow worry is the real story
This is the piece's best point. Alphabet's free cash flow was negative $9.1b after $51.4b of capex. Amazon spent $75.9b on capex against $42.4b of operating cash flow. Coverage of the sell-offs centers on exactly this squeeze.
Alphabet Q3 2026 call · Amazon Q3 2026 call

Philipp Schindler, SVP & Chief Business Officer of Google:

> *"Look, in Q3, Search grew 12% year-over-year to $63b... it's worth noting that the strong growth in AI Mode queries had an impact[8] because of the lower monetization we were seeing in AI Mode."*

8 · TRUTH CHECK: MISLEADING
The cut hides the main cause
The words are real, but the cut matters. Schindler named currency swings (FX) as "the single largest driver" of the Search slowdown. He also cited Asian retail advertisers hit by an EU tariff change and a World Cup boost in Q2. AI Mode was the fourth factor, not the main one.
Alphabet Q3 2026 call

Alphabet's search queries & visual searches are at record highs, with AI Mode queries running 3x the length of traditional searches, but Search & other advertising growth slowed to 12% ($63.3b), down from 19% in Q1 & 17% in Q2[9], as AI Mode monetizes at a lower rate than classic ten-blue-link search.

9 · TRUTH CHECK: CONFIRMED
Numbers right, cause overstated
Search grew 12% to $63.3b, after 19% and 17%. Query growth was the fastest in five years. AI Mode queries are about 3x longer. All of that checks out. But for the reason in the note above, the slowdown can't be pinned mainly on AI Mode.
Yahoo on Alphabet Q3 · Alphabet Q3 2026 call

Amazon's retail & advertising machine faces the same question : whether external shopping agents bypass the search results pages where Amazon Ads generates $19.6b per quarter (up 12% in Q3, down from 26% in Q2)[10].

10 · TRUTH CHECK: MISLEADING
Ad slowdown was mostly calendar
Both figures are right. But Amazon said moving Prime Day into Q2 cut about 8.5 points from Q3 ad growth. Q2 also had NBA games that Q3 didn't. Management expects high-teens growth in Q4. Putting this next to the agent-shopping worry implies a link the data doesn't show.
Amazon Q3 2026 call · Amazon on Q2 ads

Andy Jassy, President & CEO of Amazon:

> *"The natural question is whether agentic shopping from external horizontal agents is meaningfully impacting Amazon Ads, & the answer is no. Few customers are doing much shopping this way yet, as the experience is still not great nor more convenient than coming to a retailer directly to research or one-click order there."*

Primarily Google & Amazon must cross a new chasm : refocusing capital & product around hardware, gigawatts & agentic compute while their historical cash cows absorb the shock of AI.

Microsoft is the only hyperscaler whose legacy enterprise franchise is expanding ARPU through AI[11] faster than seat growth is slowing. ServiceNow is seeing the opposite : its market cap fell 29% on fears of AI erosion[12] of its core seat-based business.

11 · PICKLES' TAKE
Asserted, not shown
No data backs up the ARPU claim (revenue per user). Microsoft's quarter was driven by Azure, not by pricing on its legacy software. Windows OEM revenue fell 22%. Microsoft may well be best placed, but the piece never shows AI raising revenue per user faster than seat growth is slowing.
CNBC on Microsoft · WindowsForum on Q1 FY27

12 · TRUTH CHECK: UNVERIFIED

Closer to 27%

I couldn't find a 29% figure. The reports I read say ServiceNow closed down about 27% on October 29, its worst day ever. The trigger was an earnings miss and slower bookings guidance. Worry about AI shrinking per-seat software sales fed the drop, but it wasn't the only cause.

TokenPost

Google must prove that three-times-longer AI queries & autonomous shopping agents can monetize at the same yield as ten blue links. The first $10t company will be the one whose new compute engine reaches $1t before its old monopoly pays the tab.

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